

Chapter Introduction

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Learning Objectives

After studying this chapter, you should be able to

- understand the determinants of foreign exchange rates.
- track the evolution of the international monetary system.
- identify firms' strategic responses to deal with foreign exchange movements.
- participate in three leading debates concerning foreign exchange movements.
- draw implications for action.

Opening Case

Toyota's Yen Advantage

Thanks to an obsessive emphasis on quality, Toyota Motor grew from a tiny spinoff of a Japanese loom manufacturer in the 1930s into the world's largest automaker. Chief executive officer Akio Toyoda has nothing more virtuous than Japan's weakening currency for a recent assist in his quest for even greater market-share dominance. The yen has fallen 16% against the dollar since October 31, 2012. That gives Toyota and other Japanese carmakers a financial gain on every car, which they can use to cut prices, boost advertising, or improve their vehicles in ways not open to US rivals.

Morgan Stanley estimates the currency boost to operating profits at about US\$1,500 per car, while Detroit carmakers put the figure closer to US\$5,700. "We're concerned about what the long-term ramifications are," says Joe Hinrichs, Ford Motor's Americas chief. Sergio Marchionne, CEO of Chrysler Group and Fiat, also frets about the impact. "We didn't need this, to put it bluntly," he told Bloomberg TV on March 5, 2013. "It's going to make life tougher."

Toyota in February 2013 raised its profit forecast by 10% for the fiscal year ending March 31, 2013, to 860 billion yen (US\$9 billion), a five-year high. That would more than double the previous year's profit and signal a convincing comeback from the global recalls and 2011 Japanese earthquake that shook Toyota's standing as a leader in earnings, sales, and quality.

Detroit automakers are watchful for a replay of the 1990s and 2000s, when a weak yen allowed Japanese automakers to offer American buyers cars loaded with extra features at prices US companies could not match. It took government-backed bankruptcies at General Motors (GM) and Chrysler in 2009 and a wrenching restructuring at Ford to get their costs in line with Toyota's. Those gains are being eroded by the currency shift, says Morgan Stanley auto analyst Adam Jonas. "This is, without a doubt, the biggest change affecting the global auto industry," Jonas says. "The dollar versus the weak yen will make the Japanese automakers richer, and they can use those profits to target more aggressive growth. Ford and GM are in their bull's-eye. This is a real threat."

Toyota enjoys a special edge because it exports more than two million vehicles from Japan annually, according to a recent analysis by Deutsche Bank. About 27% of the models Toyota sells in the US are imported, compared with 10% of those sold by Honda Motor, Deutsche Bank says. "We see Toyota as having the most to gain from a weaker yen with improved profits on exports," write Deutsche Bank analysts Jochen Gehrke and Kurt Sanger. They see Toyota's net profit margin topping 6% next year, up from 1.5% in the year ended March 31, 2012.

Just as Toyota was cautious of not trumpeting its toppling of GM from the global No. 1 automaker title in 2012—a sensitive issue in the US—it has been similarly restrained about any benefits from the weak yen. Toyota spokesman Steve Curtis says the automaker is working to build more models in North America, which would reduce the impact of currency swings. “We do our best to reduce currency fluctuations by localizing” production, Curtis says. “Whether it’s a greenfield plant that came online a year and a half ago in Mississippi or the expansion of our component plants or the expansion of capacity for Highlander [built in Princeton, Indiana], across the operations in North America, that’s the way we’ve approached this.”

Yet even Toyota’s North American production benefits from a weak yen, according to Deutsche Bank. Citing data from the National Highway Traffic Safety Administration, Deutsche Bank says 15%–35% of the parts in Toyota’s North American-built models actually come from Japan, providing another advantage US makers do not have.

Morgan Stanley’s Jonas says Toyota typically does not discount as deeply as Detroit automakers, so rather than waging a price war, Toyota may use its yen-effect benefits elsewhere. The carmaker is replacing 60% of its lineup by 2014 and now can afford to appoint those models with more lavish interiors and high-tech features that would be costly for US carmakers to match, Jonas says. The result: “We could see the Japanese gaining a couple points of [market] share in the US,” he says.

Source: *Bloomberg Businessweek*, 2013, *Toyota’s awesome yen advantage*, March 25: 21–22.

Why is the value of currencies so important to the global automobile industry? What determines foreign exchange rates? How do foreign exchange rates affect trade and investment undertaken by firms such as Toyota as well as Chrysler, Fiat, Ford, GM, and Honda? How can firms respond strategically? This chapter addresses these crucial questions. At the heart of our discussion lie the two core perspectives introduced earlier: the institution-based and resource-based views. Essentially, the institution-based view suggests that domestic and international institutions influence foreign exchange rates and affect capital movements. In turn, the resource-based view sheds light on how firms can profit from favorable foreign exchange movements or avoid being crushed by unfavorable movements by developing their own firm-specific resources and capabilities.

We start with a basic question: What determines foreign exchange rates? Then, we track the evolution of the international monetary system, and continue with firms’ strategic responses.

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